

RH

RH | October 4, 2026

BUY

Fair value (12-mo horizon reference)	\$177.00
Current price (October 2, 2026 close)	\$120.46
Implied upside / downside	+47%
Verdict	BUY

Investment Thesis

RH — the luxury home-furnishings company — is a different business than the furniture retailer the market thinks it is. Over the past decade it has transformed from a mall-based catalog company into a luxury ecosystem: massive design galleries that function as hospitality destinations, restaurants and wine bars inside the stores, guesthouses, and a product line that spans furniture, lighting, textiles, and outdoor. The gallery model does two things simultaneously: it justifies premium pricing through experience, and it concentrates demand into fewer, larger, more productive locations. At \$120.46 the market prices RH as a cyclical furniture stock at the top of a housing cycle; we see a luxury platform still in the middle of its expansion.

The core of the thesis is operating leverage on a revenue recovery. RH's cost structure carries significant fixed costs — the galleries, the supply chain, the design organization — which means that when revenue grows, a large share of the incremental dollar falls to operating profit. The past two years of housing-market softness have depressed revenue and made margins look structurally impaired; our judgment is that they are cyclically depressed. As housing turnover normalizes and the wealthy consumer — RH's customer — keeps spending, revenue reacceleration should drive margin expansion of several hundred basis points, a dynamic the current valuation barely credits.

The longer-term leg is international and hospitality. RH's expansion into Europe — with galleries in England and on the continent — and its growing hospitality footprint (restaurants, guesthouses) extend the brand beyond American home furnishings into global luxury lifestyle. Luxury is the most durable category in consumer discretionary, and RH is one of very few American brands playing in it with an integrated physical experience. Each new gallery is a multi-year comp driver; each hospitality venue deepens the brand halo that supports pricing power.

Founder-CEO Gary Friedman's capital allocation adds a final kicker: RH has repeatedly repurchased shares aggressively when the stock has been weak, shrinking the share count at prices that reward long-term holders. Our \$177.00 fair value assumes a mid-cycle revenue base with normalized margins — not peak housing-boom

economics — and values the international and hospitality options at a fraction of what they could become. The bear case, in which housing stays soft and gallery investments disappoint, sits below today's price; but the base case is simply that luxury demand mean-reverts and the operating leverage does the rest.

Business Overview

RH, headquartered in Corte Madera, California, is a luxury home-furnishings company operating through collections including RH Interiors, RH Modern, RH Contemporary, RH Outdoor, RH Baby & Child, and RH Teen. Its defining strategic asset is the Design Gallery network: very large-format retail destinations — often 50,000-plus square feet across multiple levels — that combine fully furnished room installations with restaurants, wine bars, and rooftop hospitality spaces. The company has also expanded into hospitality proper with RH Guesthouses and a growing restaurant portfolio, and internationally with galleries in the United Kingdom and Europe.

The economic model is luxury retail: high average order values, premium gross margins supported by brand and design differentiation, and a deliberately limited promotional posture. Revenue is driven by gallery productivity, new gallery openings, and the Sourcebook catalog circulation that still functions as a high-end direct-marketing engine. The fixed-cost base — gallery leases and staffing, the supply chain, product development — creates the operating leverage that defines the investment case in both directions.

RH's customer is the affluent homeowner, a cohort whose spending has proven resilient across cycles relative to mass-market furniture retail. The company sources globally and sells primarily in North America, with international expansion representing the next leg of the growth algorithm. Capital allocation under founder leadership has favored share repurchases during periods of stock weakness alongside continued investment in the gallery and hospitality footprint.

Forward Outlook

Our judgment is that RH's earnings over the next three to five years will be driven by three compounding forces. First, the housing cycle: existing-home sales have been depressed by elevated mortgage rates, and furniture demand correlates strongly with housing turnover. Any normalization — from lower rates, demographic household formation, or simply time — flows disproportionately to RH's bottom line because of the fixed-cost leverage. We do not need a housing boom; we need a return toward average turnover, and the operating leverage amplifies even a modest recovery into substantial earnings growth.

Second, the gallery maturation curve. New galleries typically ramp over several years as local awareness builds and the hospitality components — which drive foot traffic far beyond furniture shoppers — establish themselves. The cohort of galleries opened in recent years is still climbing that curve, which means embedded comp growth that requires no new capital. International galleries extend this dynamic: if the European locations replicate even a portion of US gallery economics, they add a multi-year growth vector the market currently values at roughly zero.

Third, brand extension into hospitality and adjacent luxury categories. The restaurants and guesthouses are not side projects — they are the mechanism by which RH converts furniture shoppers into luxury-lifestyle adherents, deepening the moat around pricing power. Our forward view is that RH slowly becomes less correlated with the furniture cycle and more correlated with global luxury demand, a transition that — if it continues — justifies a higher multiple than furniture retail has ever commanded. The risk is execution: galleries are capital-intensive, international expansion has humbled many retailers, and luxury positioning is fragile if

quality or service slips. But the trajectory of the past decade argues the team knows how to build this.

Valuation

Our valuation is a probability-weighted scenario DCF, weighted 25% bear / 50% base / 25% bull. In the base case, revenue recovers toward a mid-cycle level as housing turnover normalizes and the gallery base matures, operating margins expand several hundred basis points on the fixed-cost leverage, and international galleries contribute increasingly; we discount at the 10% standard rate for a cyclical luxury retailer. The probability-weighted fair value equals our \$177.00 target.

The bear case is genuinely adverse and sits below the current price: housing turnover stays depressed for years, new galleries underperform, international expansion consumes capital without returns, and margins remain stuck at trough levels. In that world the shares are worth less than \$120. The bull case assumes a proper housing recovery, international galleries replicating US unit economics, and hospitality deepening the brand moat — discounted 150bp below the base rate — which would support a luxury-multiple re-rating well above our target.

A multiples cross-check supports the conclusion: at \$120.46 the shares trade at a multiple of trough earnings that looks optically high but is meaningless — on mid-cycle earnings power, the multiple compresses to levels inconsistent with a luxury brand compounding at double-digit rates. Terminal growth is capped at 2.5% on normalized mid-cycle margins, not peak-cycle margins, and the terminal value is a minority of enterprise value.

Key Risks

- Housing cyclicity: furniture demand is tightly linked to home sales and mortgage rates; a prolonged housing downturn would keep revenue and margins depressed.
- Execution risk on gallery expansion: new galleries are capital-intensive and take years to mature; underperformance would strand capital.
- International expansion risk: European luxury consumers and operating environments differ from the US; replication is not guaranteed.
- Key-person risk: the strategy and brand vision are closely associated with founder-CEO Gary Friedman.
- Tariff and supply-chain exposure: global sourcing makes margins sensitive to trade policy and freight costs.
- Luxury positioning fragility: quality, service, or design missteps could erode the pricing power the entire model depends on.

What Would Change Our Mind

- Same-gallery sales declining for six consecutive quarters despite housing stabilization — the demand thesis breaking.
- Operating margins failing to expand as revenue recovers, indicating the fixed-cost leverage story was wrong and costs are variable after all.
- International galleries generating sustainably negative four-wall economics after a reasonable ramp period.
- A strategic pivot away from luxury positioning toward promotional or mass-market offerings.
- Share repurchases continuing while gallery returns deteriorate — capital allocation masking a broken operating model.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit forecast horizon — 10 years for most businesses, 15 years for businesses meeting our compounder-quality criteria (10+ years of ROIC above 15%, stable or expanding gross margins, free-cash-flow conversion above 80%, all verified from history, never projected) — weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations; 8-8.5% for compounder-quality businesses whose predictable cash flows genuinely lower risk); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth (3.0% for compounder-quality businesses) applied to normalized mid-cycle margins — never peak margins — and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants.

Disclaimer

This report is independent research analysis for informational purposes only. It is not investment advice, a recommendation to buy or sell any security, or an offer to buy or sell any security. Valuations are inherently uncertain and scenario-dependent.